

Oracle fusion ERP Procurement-

(with automation perspective)

Also called:

Procure-to-Pay (P2P) cycle.

Procurement Sub-Modules

1. Suppliers
2. Self-Service Procurement
3. Purchasing
4. Sourcing
5. Procurement Contracts

These work together for full procurement flow.

1) Suppliers (Master Data)

Stores supplier information.

Functions:

- Supplier creation
- Supplier sites
- Contact details
- Banking info

Why important:

No PO without supplier.

Automation scope

- Supplier creation form
- Search supplier
- Edit supplier
- Validation checks

2) Self-Service Procurement

Used by employees to request items.

Functions:

- Create requisition
- Select item
- Submit request

Automation scope

- Requisition form
- Dropdown selections
- Submit validation
- Error handling

What is Procurement Module

Procurement manages the complete purchasing lifecycle from requesting goods/services to paying suppliers.

Purpose:

- Purchase goods/services
- Manage suppliers
- Process approvals
- Track invoices

3) Purchasing

Core module for purchase orders.

Functions:

Automation scope

- Create PO
- Approve PO
- Modify PO
- Cancel PO
- PO creation
- Approval flow
- Status validation
- Table data validation

4) Sourcing

Used for vendor negotiations.

Functions:

- RFQ creation
- Supplier bidding
- Quote comparison

Automation (less common):

- RFQ creation
- Supplier selection

5) Procurement Contracts

Manages supplier contracts.

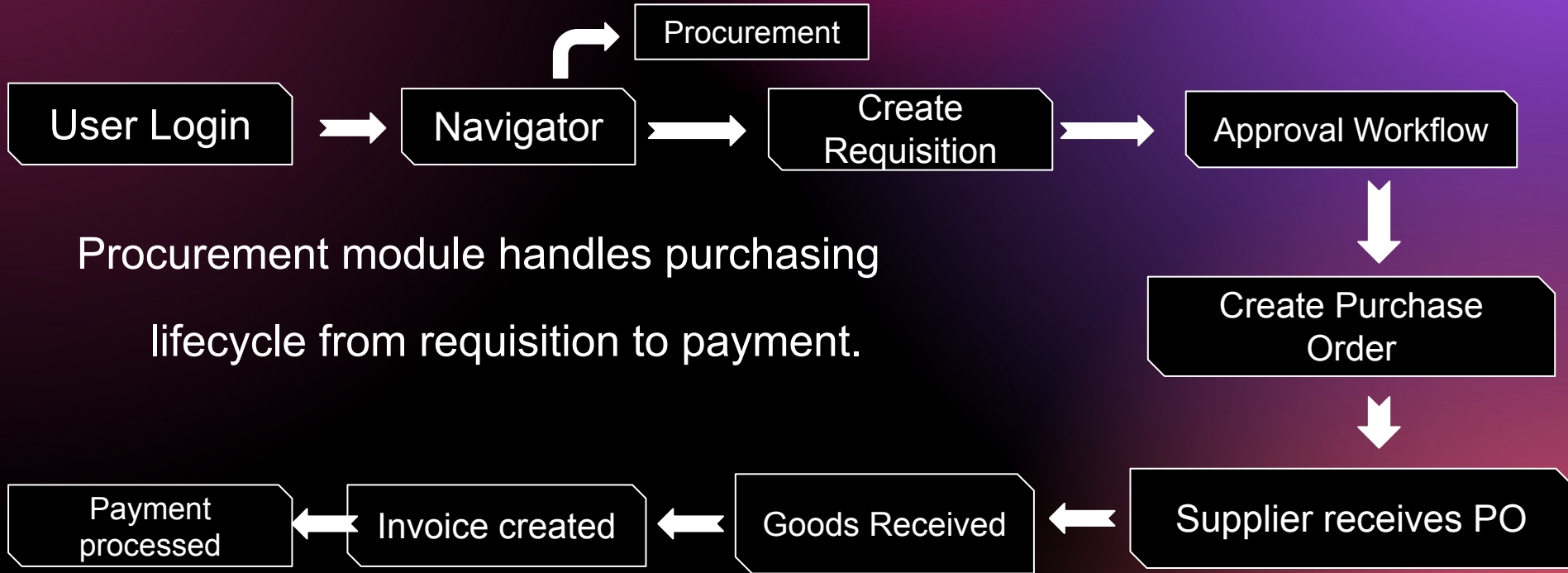
Functions:

- Contract creation
- Terms
- Compliance

Automation (limited):

Mostly validation.

Working flow of procurement



REQUISITION MODULE

What is a Requisition?

A requisition is an internal request created by an employee to purchase goods or services.

It is the starting point of the procurement cycle and gets converted into a Purchase Order after approval.

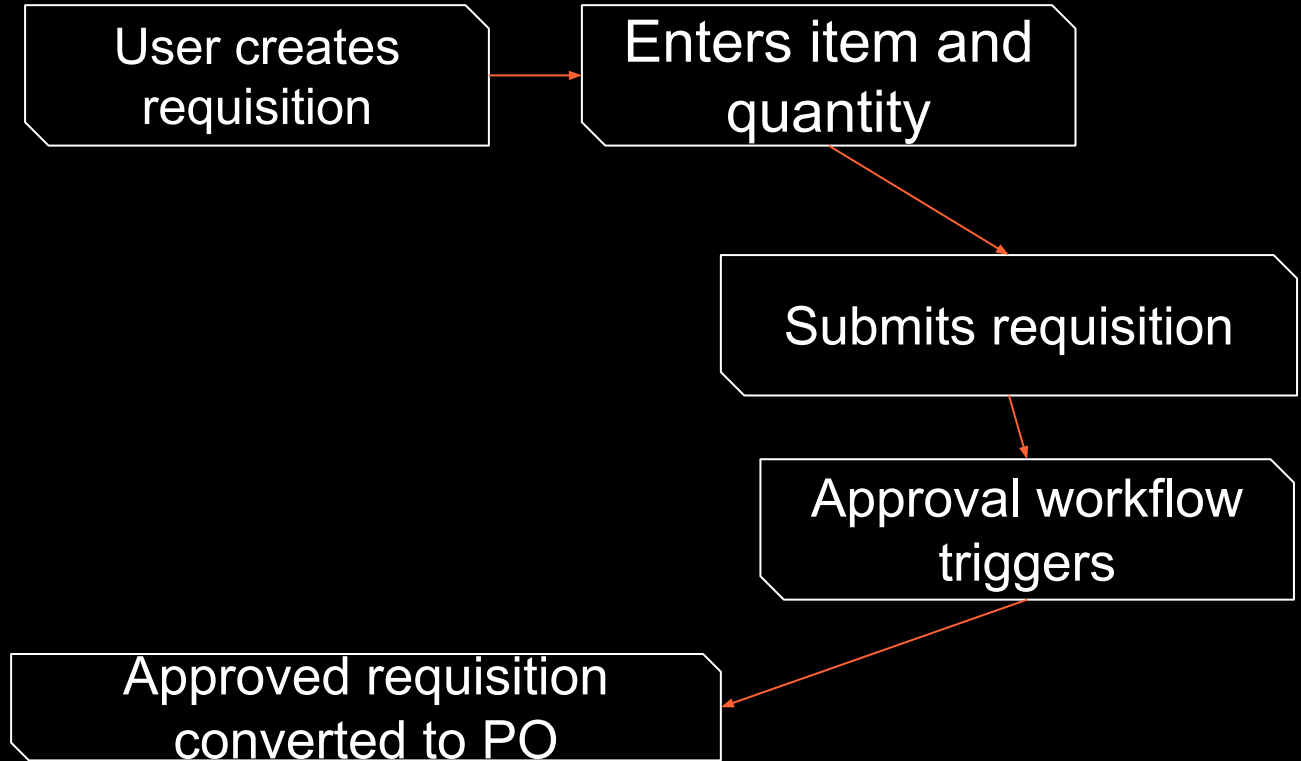
Purpose:

Request items before ordering from supplier.

Key components

- Requester
- Item
- Quantity
- Supplier (optional)
- Delivery location
- Charge account
- Status

Requisition Lifecycle



APPROVAL WORKFLOW

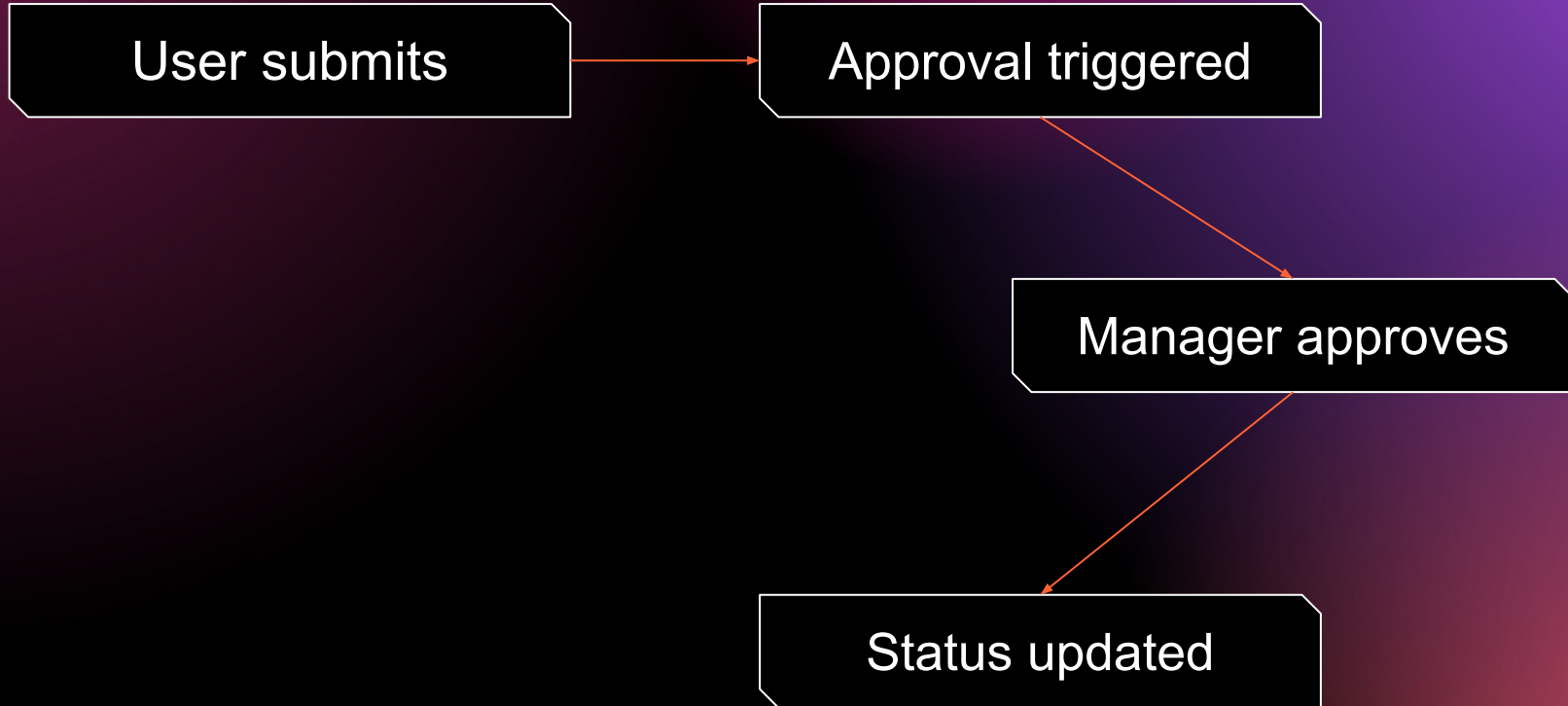
What is Approval workflow?

System routes requisition/PO to managers for approval based on rules.

Rules based on:

- Amount
- Role
- Hierarchy

Approval Workflow Lifecycle



PURCHASE ORDER (PO)-

What is a Purchase Order?

A Purchase Order is an official document created by the organization to request goods or services from a supplier.

It contains item details, quantity, price, delivery information, and terms.

It is the central transaction in the procurement process.

Purpose: Convert approved requisition into a formal order sent to supplier.

So PO connects:

- Requisition
- Supplier
- Inventory
- Financials

Key components of a Purchase Order

Supplier details

- Supplier name
- Supplier site
- Contact

Item details

- Item name
- Quantity
- Price

Delivery details

- Delivery date
- Ship location

Financial details

- Charge account
- Currency
- Payment terms

Status

- Draft
- Approved
- Sent
- Closed

PO Lifecycle (Functional)

Created from approved requisition or manually.

PO creation

Approval

Sent to manager or hierarchy.

Dispatch to
supplier

Supplier receives PO.

Items received and recorded.

Goods receipt

Invoice matched with PO.

Invoice
matching

Payment processed in Financials.

Payment

PO integration with other modules

With Suppliers

Supplier must exist before PO.

With Inventory

Goods received updates inventory.

With Financials

Invoice generates accounting entries.

RECEIVING MODULE

What is Receiving?

Receiving is the process where the organization records that goods ordered through a Purchase Order have been delivered by the supplier.

It confirms:

- Items arrived
- Quantity received
- Delivery recorded in system

Receiving connects **Procurement** → **Inventory** → **Financials**.

Purpose:

Verify delivery of goods and update stock before invoice payment.

Key components in Receiving

When receiving goods, system records:

- PO number
- Supplier
- Item
- Quantity received
- Delivery location
- Receipt number
- Date

Receiving lifecycle(functional)

Supplier delivers
goods

Supplier sends items based on PO.

Open Receiving
screen

User opens receiving module.

Enter PO number

System fetches PO details.

Enter quantity
received

User enters delivered quantity.

System creates receipt record.

Submit receipt

Stock increases in inventory.

Inventory updated

Receipt used for
invoice matching

Integration with other modules

With Procurement

PO must exist before receiving.

With Inventory

Receiving increases stock quantity.

With Financials

Receipt used for invoice matching.

This is part of:

3-way matching

PO + Receipt + Invoice

INVOICE MODULE

What is an Invoice?

An invoice is the bill sent by the supplier after goods/services are delivered. It requests payment for the items received.

In Oracle Fusion, invoice processing happens in Accounts Payable (AP) but is part of the procurement lifecycle.

Purpose:

Validate supplier bill and process payment.

Key concept: 3-Way Matching

Before payment, system verifies:

- Purchase Order
- Receipt
- Invoice

All three must match.

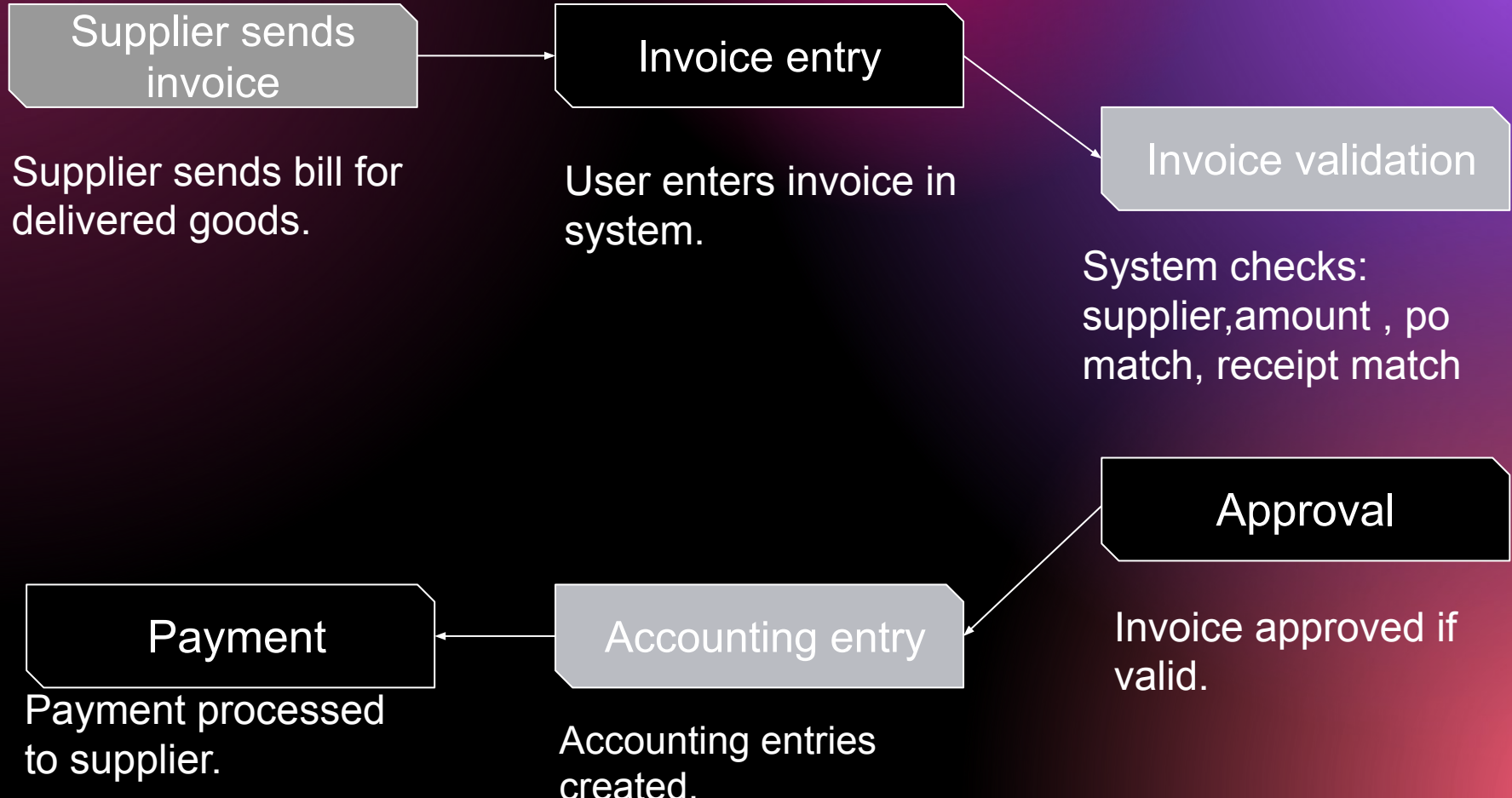
This ensures:

Correct quantity

Correct price

Correct supplier

Invoice lifecycle (functional)



Integration with other modules

With Procurement

Invoice must match PO.

With Receiving

Invoice must match receipt.

With Financials

Invoice generates accounting entries.

This completes:

Procure-to-Pay cycle

PAYMENT MODULE

What is Payment?

Payment is the final step in the procurement cycle where the organization pay the supplier for the invoice.

It happens after:

- Invoice is validated
- Invoice is approved

Payment processing is handled in the **Financials → Accounts Payable** module.

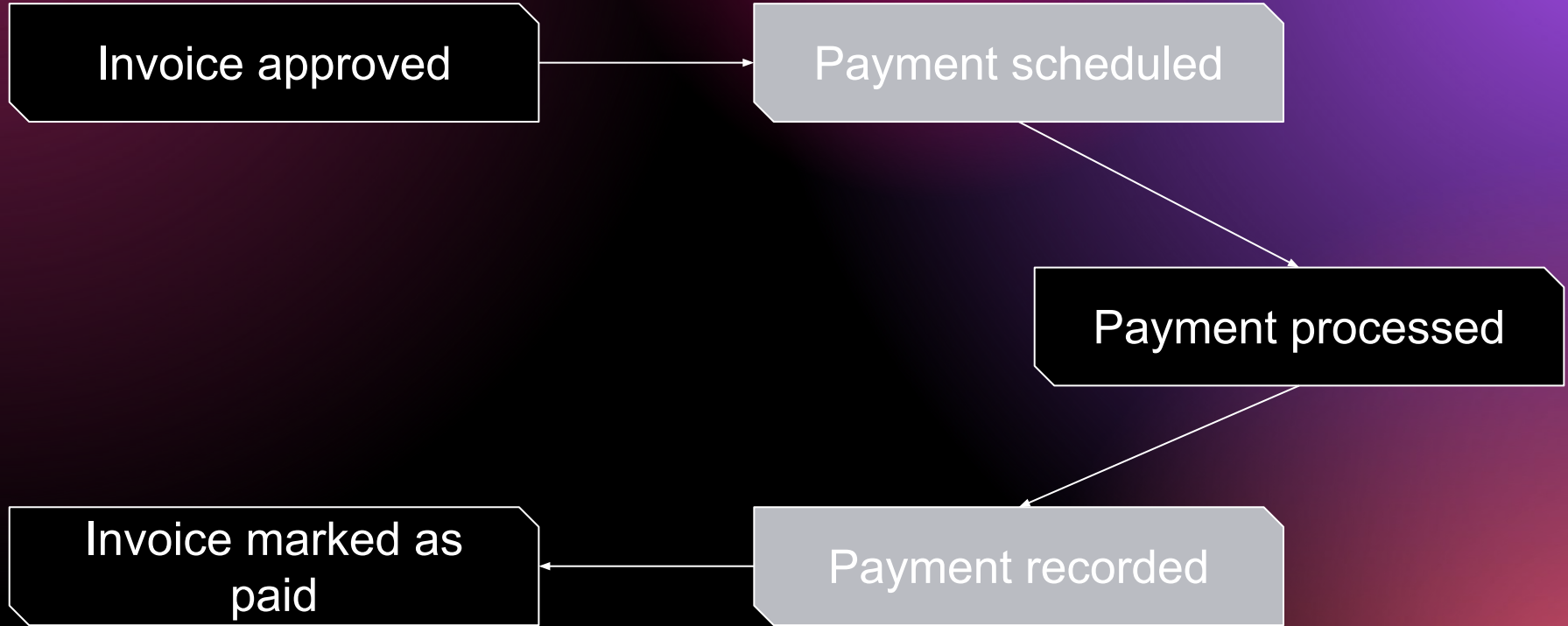
Purpose:

Release funds to supplier after invoice validation.

Key components

- Supplier
- Invoice
- Payment amount
- Payment method (bank/transfer)
- Payment date

Payment lifecycle



Integration

With Invoice

Payment can only happen after invoice approval.

With Financials

Payment generates accounting entries and updates ledger.

